EXTRACT OF AUDITED RESULTS FOR THE 12 MONTH PERIOD ENDED 30 SEPTEMBER 2018

EVEREADY E.A. PLC

ABRIDGED CHAIRPERSON'S STATEMENT

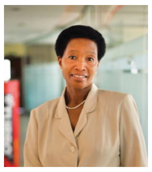
Our business was reborn in late 2016 when we launched TURBO® to our consumers. Gaining control of our business, remains the single most important decision that we have undertaken for our Company and it acts as the bedrock for future sustainable growth.

Our business was reborn in late 2016 when we launched TURBO® to our consumers.The value of our new business lines continues to grow and its contribution to our business has deepened year on year led by our car battery business.

Our next key step is to achieve profitability faster. The key to that is achieving and sustaining reasonable business growth in a lean and cost sensitive way. Our core focus in the coming year will be achieving the right balance between revenue generation, margin enhancement and cost minimization.

The value of our new business lines continues to grow and its contribution to our business has deepened year on year led by our car battery business. Cost minimisation remains a key component of our strategy. Our overheads reduced by over KES.120m from last year and we will implement more programs to further shed off costs and be more efficient.

Our Board ensured the transition to a new CEO when Mr. Jackson Mutua expressed his intention to retire from the Company. We made the considered decision to accept his resignation and appoint Margaret A. Odhiambo our Head of Corporate Services as CEO to succeed him.



We bade farewell to Dr. Catherine Ngahu, EGH on 12 September 2018 and welcomed Mr. Joseph W. Sitati to the Board of Directors of the Company.

Mrs. Lucy Waithaka, Chairperson
30 January 2019

PERFORMANCE AT A GLANCE

SALES
KES. 252 Million

PROFIT AFTER TAX
(KES. 110 Million)

PROFIT PER SHARE
(0.55)

FREE CASH FLOWS END OF YEAR
KES. 69 Million

ABRIDGED MANAGING DIRECTOR'S STATEMENT

FY 2018 was a challenging year based on the impacts of an extended electioneering period, tightened credit access, increased competition and macroeconomic headwinds which had an impact on the consumer spending habits. Our revenues declined by 26% driven largely by our inability to access key markets in quarter one as a result of trade uncertainties associated with the very protracted electioneering period.

We restructured the Company's business model from the manufacture of third party brands under restrictive arrangements. Eveready now fully owns its business, a structure and future focus is now to grow the business profitably.

Various initiatives on cost saving resulted in overhead reduction of KES.123m compared to prior year. We focused on re-building our Company by leveraging on new products, such as the car battery business, as the flagships for our business while protecting gains from our conventional business. We focused on freeing our business from the dependence on conventional business so that we can enhance our revenue sources and in so doing pursue profitability.

The actions that we took to free up our business had an impact on our performance and this trend is expected to reverse itself as we conclude those programs. New businesses, with the car battery business as the growth engine, recorded an average of 237% in revenue and volume growth from prior year performance confirming that our investments focus in new opportunities were well guided.

To support our core, we continue to review and restructure the model of our operations to;
o Eliminate unprofitable businesses,
o Improve the Company's financial structure, and
o Promote a growth strategy that is influenced by our growth drivers.

This is my final report to the shareholders. We have accomplished a lot in the years that I have been with the Company:
o We restructured the Company's business model from the manufacture of third party brands under restrictive arrangements. Eveready now fully owns its business, a structure and future focus is now to grow the business profitably.

o We resolved a risk to the business which was limiting creating control over product formats and product lines and which also restricted the Company's markets and margins;

o We pursued diversification of products by launching Everclean®, TURBO® and TURBOPlus+® etc which products have now achieved market acceptance.

o The Company is now debt free.

Mr. Jackson Mutua, Managing Director
30 January 2019

NOTICE & AGENDA OF THE 52ND ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the fifty second (52nd) Annual General Meeting of Eveready East Africa PLC (the "Company") will be held at Merica Hotel, Nakuru on Thursday 28, March 2019 at 11 a.m. for the following business:

AGENDA

1. Constitution of the Meeting
   To determine if a quorum is present, and to read the notice convening the meeting.

2. Confirmation of Minutes
   To confirm the minutes of the fifty first (51st) Annual General Meeting held on Tuesday 27 March, 2018.

3. Ordinary Business
   (i) Report of the Auditors and Financial Statements for the Year Ended 30 September 2018:
   To receive, consider and, if thought fit, adopt the Audited Financial Statements for the year ended 30 September 2018 together with the Directors' and Auditors' Reports thereon.

   (ii) Election of Directors:
   a) Mr. Akif Butt will retire by rotation in accordance with Article 91 of the Company's Articles of Association and being eligible offers himself for re-election as a Director of the Company.

   b) Mr. Joseph Sitati who was elected to fill a casual vacancy and who being eligible offers himself for election as a Director of the Company.

   iii) Board Audit Committee Membership
   In accordance with the provisions of Section 769 of the Companies Act, 2015, the following Directors be elected to serve as members of the Board Audit Committee:
   (a) Mr. Joseph Sitati;
   (b) Ms. Fauzia Shah; and
   (c) Mrs. Lucy Waithaka.

4. Remuneration of Directors
   (i) To approve the Directors' Remuneration Policy contained in the Director's Remuneration Report for the year ended 30 September 2018.

   (ii) To approve the Directors' Remuneration Report for the year ended 30 September 2018 (other than the part relating to the Directors' Remuneration Policy).

5. Appointment and Remuneration of Auditors
   To note that Messrs RSM Eastern Africa continue in office as Auditors by virtue of Section 721(2) of the Companies Act, 2015 and to authorize the Board to fix the Auditors' remuneration for the ensuing financial year.

6. Other Business
   To transact any other business for which appropriate notice has been issued and received.

By Order of the Board,

Image Registrars Limited, Company Secretary
30 January, 2019

Note:
1. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company. To be valid must be duly completed and signed by the member and must either be lodged at the offices of the Company's shares registrars, Image Registrars Limited, Transnational Plaza, 8th Floor, Mama Ngina Street, P.O. Box 9287 – 00100 GPO, Nairobi or lodged at the Company's registered office at Sameer Business Park, Mombasa/ Enterprise Road Junction, P.O. Box 44765 - 00100 Nairobi, Kenya not later than 11a.m on Tuesday March 26, 2019 failing which it will be invalid. In the case of a corporate body the Proxy Form must be under its common seal or by notification in writing under the hand of some officer of the corporation duly authorized in that behalf.

   A Proxy Form may be downloaded from the Company's website at www.eveready.co.ke Alternatively, shareholders may contact our Company registrars at the above mentioned address for the same.

2. Any member may, by notice duly signed by him or her and delivered to the Company Secretary, not less than 7 or more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.

3. A copy of the Annual Report & Financial Statements, 2018 may be viewed on the Company's website at www.eveready.co.ke

RSM
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Certified Public Accountants
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Report of the Independent Auditor on the Summary Financial Statements To the Members of Eveready East Africa Plc

Opinion
The summary financial statements which comprise the summary group and company balance sheets at 30th September 2018, the summary group and company statements of profit and loss account and other comprehensive income, the summary group statement of changes in equity and the summary group and company statements of cash flows for the year then ended were derived from the audited financial statements of Eveready East Africa Plc and its subsidiaries (together, the "Group") for the year ended 30th September 2018. In our opinion those summary financial statements are consistent, in all material respects, with the audited financial statements of the Group and of the Company.

Summary financial statements
The summary financial statements do not contain all the disclosures required by International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. Reading the summary financial statements and the auditor's report thereon, therefore, is not a substitute for reading the audited financial statements and the auditor's report thereon. The summary financial statements and the audited financial statements do not reflect the effects of events that occurred subsequent to the date of our report on the audited financial statements.

The audited financial statements and our report thereon
We expressed an unmodified audit opinion on the audited financial statements in our audit report dated 30th January 2019. The audit report also includes the communication of key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period.

Auditor's responsibility
Our responsibility is to express and opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditor report is CPA Elvis Ogeto, Practising Certificate No. 2303.

RSM Eastern Africa LLP
RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

30th January 2019

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30TH SEPTEMBER 2018

	Group		Company	
	2018 Shs '000	2017 Shs '000	2018 Shs '000	2017 Shs '000
Continuing operations				
Sales	251,720	338,931	251,720	338,931
Cost of sales	(220,108)	(251,610)	(220,108)	(251,610)
Gross profit	**31,612**	**87,321**	**31,612**	**87,321**
Other income	15,220	49,546	16,739	54,112
Gain on disposal of assets	4,302	452,468	4,302	452,468
Overhead expenses	(217,510)	(330,465)	(217,510)	(330,468)
Finance costs	(455)	(9,736)	(455)	(9,736)
Profit or Loss before tax	**(166,831)**	**249,134**	**(165,312)**	**253,697**
Tax income/(expense)	55,157	16,947	55,157	16,947
(Loss)/profit for the year from continuing operations	**(111,674)**	**266,081**	**(110,155)**	**270,644**
(Loss)/profit for the year from discontinued operations	**(4,721)**	**1,092**	**-**	**-**
(Loss)/profit for the year	**(116,395)**	**267,173**	**(110,155)**	**270,644**
Other comprehensive income				
Items that will not be reclassified subsequently to profit or loss:				
Actuarial losses	-	3,270	-	3,270
Items that will be reclassified subsequently to profit or loss when specific conditions are met:				
Currency translation differences on foreign operations	4,692	2,349	-	-
Other comprehensive income for the year, net of tax	**4,692**	**5,619**	**-**	**3,270**
Total comprehensive (loss)/ income for the year attributable to the owners of the company	**(111,703)**	**272,792**	**(110,155)**	**273,914**
Earnings per share	**Shs**	**Shs**	**Shs**	**Shs**
(Loss)/profit per share - basic and diluted	(0.55)	1.27	(0.52)	1.29

BALANCE SHEET AS AT 30TH SEPTEMBER 2018

	Group		Company	
	2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
Equity				
Share capital	210,000	210,000	210,000	210,000
Translation reserve	18,159	13,467	-	-
Retained earnings	209,508	325,903	227,667	337,822
Total Equity	**437,667**	**549,370**	**437,667**	**547,822**
Non-current Liabilities				
Provisions for liabilities charges	8,847	8,847	8,847	8,847
	8,847	8,847	8,847	8,847
	446,514	558,217	446,514	556,669
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	7,591	9,312	7,591	9,312
Investment in subsidiary	-	-	-	-
Deferred income tax	243,911	185,480	243,911	185,480
Retirement benefit asset	-	-	-	-
	251,502	194,792	251,502	194,792
Current assets				
Inventories	88,851	182,798	88,851	182,798
Trade and other receivables	155,161	149,235	155,161	149,235
Cash at bank and in hand	78,254	245,827	78,254	244,279
	322,266	577,860	322,266	576,312
Current liabilities				
Trade and other payables	108,956	149,600	108,956	149,600
Current tax	5,416	60,335	5,416	60,335
Borrowings	12,882	4,500	12,882	4,500
	127,254	214,435	127,254	214,435
Net current liabilities	**195,012**	**363,425**	**195,012**	**361,877**
	446,514	558,217	446,514	556,669

ABOUT EVEREADY

Eveready East Africa PLC (the "Company" or "Eveready") is a consumer goods Company focused on providing branded portable power solutions packaged to consumers in Kenya. The Company is headquartered in Nairobi, Kenya. The Company which is one of the largest portable power solutions in Kenya was founded in 1967 and is listed in the Nairobi Securities Exchange. The Company operates in three segments Automotive, Lighting and Household. The Company sells its products in Kenya primarily through automotive dealers, wholesalers, electronic stores, retail stores, petrol stations and high-frequency stores.

Automotive Segment - The Company offers Maintenance Free car batteries and Vented car batteries, battery water and battery acid in its Automotive Segment under the brands TURBO® and TURBOPlus+®

Household Segment - The Company offers dry cell batteries in sizes 'D' 'AA' 'AAA' '9V', 'C' and Miniature in carbon zinc, alkaline batteries, lithium and rechargeable constructions. The products under this segment are traded under the brands TURBO® and TURBOPlus+®. This segment also includes the Company's fabric care division under the brand EVERCLEAN®.

Lighting Segment - The Company offers flashlights, lanterns and bulbs under the brands TURBO® and TURBOPlus+®.

The above extract is based on the audited accounts of Eveready East Africa Plc for the 12 months ended 30 September 2018.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30TH SEPTEMBER 2018

	Share Capital Kshs'000	Translation Reserve Ksh '000	Acturial Reserve Ksh '000	Revaluation Reserve Ksh '000	Retained Earnings Ksh '000	Total Ksh '000
As at 1st October 2016	**210,000**	**11,118**	**(3,270)**	**657,073**	**(388,343)**	**486,578**
Changes in equity in 2017						
Profit for the year	-	-	-	-	267,173	267,173
Other comprehensive income for the year	-	2,349	3,270	-	-	5,619
Total comprehensive income for the year	-	2,349	3,270	-	267,173	272,792
Transactions with owners:	-	-	-	-	(210,000)	(210,000)
Transfer of revaluation surplus on disposal of assets	-	-	-	(657,073)	657,073	-
At 30th September 2017	**210,000**	**13,467**	**-**	**-**	**325,903**	**549,370**
At 1st October 2017	**210,000**	**13,467**	**-**	**-**	**325,903**	**549,370**
Changes in equity in 2018						
Loss for the year	-	-	-	-	(116,395)	(116,395)
Other comprehensive income	-	4,692	-	-	-	4,692
Total comprehensive income/(loss) for the year	-	4,692	-	-	(116,395)	(111,703)
At 30th September 2018	**210,000**	**18,159**	**-**	**-**	**209,508**	**437,667**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30TH SEPTEMBER 2018

	Group		Company	
	2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
Cash flows from operating activities				
(Loss) before tax	(116,395)	267,173	(110,155)	270,644
Adjustments for:				
Income tax	(55,157)	(16,947)	(55,157)	(16,947)
Depreciation charge	5,593	11,781	5,593	11,781
Gain on disposal of assets	(4,302)	(452,468)	(4,302)	(452,468)
Interest expense	455	9,736	455	9,736
Impairment of investment in subsidiary	-	-	-	333
Movement in retirement benefit asset and liabilities	-	7,485	-	7,485
Assets (write back)/write off	(291)	2,768	(291)	982
Operating profit before working capital changes	**(170,097)**	**(170,472)**	**(163,857)**	**(168,454)**
Decrease in trade and other receivables	93,947	(20,801)	93,947	(20,801)
Decrease in inventories	(5,926)	(54,430)	(5,926)	(54,430)
(Decrease) / increase in trade and other payables	(35,887)	5,911	(40,644)	7,533
Cash (used in)/generated from operations	**(117,963)**	**(239,792)**	**(116,480)**	**(236,152)**
Interest paid	(455)	(9,736)	(455)	(9,736)
Tax paid	(58,193)	(4,104)	(58,193)	(4,104)
Net cash (used in)/generated from operating activities	**(176,611)**	**(253,632)**	**(175,128)**	**(249,992)**
Cash flows from investing activities				
Purchase of property, plant and equipment	(3,581)	(3,782)	(3,581)	(3,782)
Proceeds from disposal of property, plant and equipment	4,302	1,146,265	4,302	1,146,265
Net cash generated from investing activities	**721**	**1,142,483**	**721**	**1,142,483**
Cash flows from financing activities				
Repayment of borrowings	(1,306)	(433,969)	(1,306)	(434,299)
Dividend paid	-	(210,000)	-	(210,000)
Net cash generated from /(used in) financing activities	**(1,306)**	**(643,969)**	**(1,306)**	**(644,299)**
Net increase in cash and cash equivalents	**(177,196)**	**244,882**	**(175,713)**	**248,192**
Cash and cash equivalents at start of the year	**245,827**	**(731)**	**244,279**	**(3,913)**
Effects of exchange rate changes on cash and cash equivalents	**(65)**	**1,676**	**-**	**-**
Cash and cash equivalents at end of the year	**68,566**	**245,827**	**68,566**	**244,279**

COMMENTS ON THE RESULTS

We have witnessed good progress in the market penetration of the new products launched last year under the brand name TURBO©. Those products, driven by our car battery business, received market acceptance, proof that the Company strategy is on the right course. Last year's performance was achieved against a very challenging operating environment occasioned principally by the extended electioneering period in 2017. This was further compounded by a depressed economy which negatively affected consumer purchasing power. The Company recorded a turnover of KES.252m, which is a 26% decline in total revenues compared to last year. Certain one off programs undertaken to support our future revenue and margin drivers had an impact on our margins and in order to protect the bottom line, the Company undertook various cost control initiatives leading to a decline in overhead costs by 38%.

Arising from the above outcomes, the Company registered a loss after tax of KES.110m compared to a profit of KES.270m last year which was mainly attributable to sale of assets.

DIVIDEND
The Board does not recommend the payment of a dividend in respect of financial year 2018.

OUTLOOK
We remain focused on achieving profitability and we will therefore focus on our growth drivers even as we pursue cost minimization measures. We have seen significant organic growth in our new businesses and this means that initiatives aimed at improving the reach of our products and enhancing the consumers experience with our products, will remain priority areas. We therefore expect to see continued growth in 2019 as we work towards returning the business back to profitability.

By order of the Board.

Mrs Lucy Waithaka, **Board Chair**
30th January, 2019

Jackson Mutua, **Managing Director**
30th January, 2019